

Lead times between the placement of orders for certain raw materials and purchased parts and actual delivery to us may vary. Occasionally, we may need to order raw materials in greater quantities and at higher prices to compensate for the variability of lead times for delivery. The price and availability of raw materials and manufactured components is subject to change due to, among other things, new laws and regulations, global economic and political events including strikes, and public health and safety concerns.

The ongoing coronavirus outbreak in China has resulted in travel restrictions and extended shutdown of certain businesses in the region, delaying the re-opening of two of our manufacturing facilities following the Lunar New Year holiday. We rely upon these facilities to support our business in China and to export components for use in our production in other facilities. In addition, we source raw materials and certain components from Chinese suppliers for use in our operations. The closures and limitations on movement in the region are adversely affecting our business and will adversely affect our sales and results of operations in the first quarter of 2020, and possibly longer if coronavirus consequences continue.

PATENTS, TRADEMARKS, AND LICENSES

We maintain a program of obtaining and protecting U.S. and non-U.S. patents relating to products that we have designed and manufactured, as well as processes and equipment used in our manufacturing technology. We were issued 18 new U.S. patents and 15 non-U.S. patents in 2019 and currently hold 148 U.S. patents and 150 non-U.S. patents. We have 12 registered U.S. trademarks, 24 registered foreign trademarks and 4 international trademark registrations. We have licensed the right to use several of our patents. In 2019, license and royalty income was less than 1% of net sales.

MAJOR CUSTOMERS

Sales to our 15 largest customers as a percentage of total net sales were as follows:

	Years Ended December 31,		
	2019	2018	2017
Total of 15 largest customers / net sales	61.9%	63.7%	64.4%

Our net sales to significant customers as a percentage of total net sales were as follows:

	Years Ended December 31,		
	2019	2018	2017
Cummins Inc.	16.1%	15.2%	13.4%
Honda Motor Co.	11.6%	10.5%	11.2%
Toyota Motor Corporation	9.6%	10.5%	10.2%

We sell parts to these three transportation customers for certain vehicle platforms under purchase agreements that have no volume commitments and are subject to purchase orders issued from time to time.

No other customer accounted for 10% or more of total net sales during these periods. We continue to focus on broadening our customer base to diversify our end market exposure.

Changes in the level of our customers' orders have, in the past, had a significant impact on our operating results. If a major customer reduces the amount of business it does with us, or substantially changes the terms of that business, there could be an adverse impact on our operating results.

ORDER BACKLOG

Order backlog is comprised of firm open purchase orders we have received from our customers and generally represents 1 to 2 months of sales for certain products. Our business is a mix of purchase order based business, shorter-term contracts, and multi-year awards, such as with customers who serve the automotive end market. As such, order backlog does not provide a meaningful indication of future sales.